

How can I avoid or reduce LMI?

Bessie Hassan provides the following advice to those hoping not to pay the extra fee, or to curb its impact on their repayments:

Take out a family guarantee

A family member can guarantee part of your loan with their own property. ‘They can usually nominate how much to pledge, and this is then added to your deposit amount,’ Hassan says. ‘If you haven’t saved enough to avoid paying LMI, a family guarantee can get you over the line with an acceptable loan-to-value ratio [or LVR; see definition at the beginning of Step 3].’

LMI options

‘Some lenders have their own LMI departments,’ Hassan says. Institutions like Westpac handle LMI for St George, for instance, while others outsource to companies like QBE Insurance and Genworth. Bridget Sakr, CFO of Genworth, says, ‘Borrowers don’t have much of a say in this part of the loan application process, so choosing an LMI insurer isn’t going to have much of an effect on the end result.’ That said, ING Direct, as an example, offer a fee called the reduced equity fee (REF), which Hassan says is usually cheaper than the cost of regular LMI. ‘Be sure to check with prospective lenders to see if they have an alternative LMI scheme. These alternative schemes can also sometimes be quicker than arranging an LMI, as your application is handled in-house.’

LMI versus REF – head to head

A borrower wants to buy a \$400,000 home with a ten per cent deposit of \$40,000. The LMI would be about \$7056, at the time of writing. However, Hassan says if that borrower was instead eligible to take out a REF, that fee would drop to about \$4200. ‘These are just estimates, and they can change,’ Hassan says. ‘However, it’s important to know that alternative schemes like REFs can come with additional application criteria which may not normally apply to LMI.’